

9 EMA Reclaim Scalp

Why the 9 EMA Reclaim Scalp works:

- When there is a stock with fresh news that attracts institutional participants, they will sometimes look to get involved with the stock using an algorithmic program. Oftentimes, we will see an algorithm programmed to buy at the 9 EMA.
- However, oftentimes we can see a bit of a shakeout if the stock loses the 9 EMA as many traders use this as a trailing stop
- We will look for a quick reclaim of the 9 EMA as a sign that the trend has resumed

Entry Rules (inverted rules for the short side):

- Enter after the stock closes back above the 9 EMA

Stop Loss Rules:

- The stop should be right below the consolidation/pullback low

Exit Rules:

- We will either exit into a measured move or exit once the stock closes back below the 9 EMA, whichever occurs first

Factors that increase the probability of this trade working:

- A changing fundamentals catalyst
- A strong opening drive that indicates that this may be a trending move
- A breakout of an important daily level

Factors that decrease the probability of this trade working:

- A choppy opening move
- The reclaim of the 9 EMA should not take longer than 5 minutes
- The pullback should not be too deep

The ideal time of day to take this trade:

- Morning (9:45 AM - 11 AM)

When do we avoid this trade entirely?:

- This trade is a bet that the stock will trend so we will avoid this trade entirely if it does not have a strong catalyst or setup



